

Reading the Field: Fracturing Disclosures as a Leading Indicator for Shale Producers

Investment brief · Michael Miele · July 18, 2026 · companion to the technical note · github.com/michaelmiele07/alt-data-frac-activity

The premise

US law requires every hydraulic-fracturing job to be disclosed to the FracFocus registry — operator, well, dates, water volume. A frack job is the last capital step before a well produces, and it happens a quarter or more before the production reaches a 10-Q. Counting disclosures per operator gives a field-level read on who is accelerating and who is quietly slowing, from a free public database refreshed continuously.

The mechanism — and what the test showed

- Completions mechanically lead first production by roughly a quarter; water volume proxies job intensity (bigger fracks, longer laterals).
- The operator→ticker map uses **M&A ownership windows** — Pioneer counts as XOM only after the deal closed, Marathon flips to COP in Nov 2024 — so activity is never miscredited.
- Measured limit: naive return ranking is a **null** (−0.66%/qtr, p=0.80), and the test is survivorship-biased *against* success — ten of twelve excluded tickers were taken out *after outperforming* (PXD, HES, MRO).
- Activity growth is not automatically value creation in shale; the natural product is production-surprise forecasting, not a long-short ranking.

The investable universe

Majors (shale arms)	XOM (incl. Pioneer), CVX (incl. Hess, PDC, Noble), COP (incl. Marathon, Concho), OXY (incl. CrownRock), BP
Large independents	EOG, FANG (incl. Endeavor), DVN, EQT, EXE (Chesapeake+Southwestern)
Mid-cap E&Ps	MTDR, PR, SM, CTRA, OVV, CIVI, APA, MUR, HPK
Gas-levered	RRC, AR, CRK, EQT, EXE — completion momentum maps to gas macro
Second-order reads	Pressure pumpers & sand: HAL, SLB, LBRT — aggregate completion count is their demand pool

How an investor would use it

- **Production-surprise watchlist:** operators whose completion count accelerates ahead of consensus. Current board (2026Q2 YoY, partial data): **RRC +67%, MTDR +20%, DVN +20%** — pre-registered September re-check, then against Q3 production prints.
- **Capex-discipline monitor:** for majors, the shale-arm completion count shows whether announced discipline is real in the field (XOM −63% and EOG −89% are partly filing lag; September resolves them).
- **Service-demand read-through:** the aggregate completion count is the quarterly demand pool for pressure pumpers (HAL, LBRT).
- **M&A tell:** 2024's marquee take-outs hid in plain sight — in 2023 Endeavor was the **#10 completer of 496 operators** and CrownRock's CrownQuest **#18**, both private. Today's equivalents on that screen: Mewbourne (#8), BlackBeard (#9).

What could mislead you

- Filings lag job completion by 30–90 days — never trade the raw latest print.
- Gas-basin and oil-basin economics diverge; water volume is an intensity proxy, not EUR.
- The return null is real: this is an operational nowcast, not a priced anomaly.

Data: FracFocus Chemical Disclosure Registry bulk export, 248K disclosures 2012–July 2026. Methodology and validation: [out/frac_activity_note.pdf](#). Research, not investment advice.